Required Readings and Discussion Questions

Empirical Methods for Law and Economics | EDLE

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Theory and Stata are part of every lecture. Paper discussions take place in lectures 2, 4, 6 and 8; lecture 5 uses a short guide to referee reports. Read the stated sections before the meeting, bring short notes on the questions, and flag passages you do not understand.

Lecture 2

Law and Economics focus: deterrence, sanctions, incomplete contracts and behavioural responses to enforcement.

Gneezy, U. and Rustichini, A. (2000), A fine is a price, *Journal of Legal Studies* 29(1): 1–17, Download the paper

Read the abstract, Section I and Section II (printed pp. 1–5), inspect Table 1 (p. 6) and Figure 1 (p. 7). Skip formal tests and the theoretical model at this stage.

Preparation: 30–45 minutes. Bring brief notes on the three questions; no graded reading submission.

- What does one row of Table 1 record, and what does one cell count? What does Figure 1 average?
- Which centres receive the fine, how were they chosen, and in which weeks is it in force?
- Why are the 200 centre-week counts not 200 independent observations of the effect of the fine?

Lecture 4

Law and Economics focus: judicial institutions, legal protections and realised prosecutorial independence.

Voigt, S. and Wulf, A. J. (2019; first online 2017), What makes prosecutors independent? Analysing the institutional determinants of prosecutorial independence, *Journal of Institutional Economics* 15(1): 99–120

Download the paper; Publisher access may require an institutional login.

Read the abstract, Section 1, Section 5, Section 7 and the first two paragraphs of Section 8 (pp. 112–113); inspect Table 1 and only column (1) of Table 2, especially the English legal-origin row and the footnotes. Other specifications are for lecture 6.

Preparation: 35–45 minutes. Bring a one-sentence question, the outcome definition and one coefficient interpretation.

- What distinguishes de jure from de facto independence, and what is the observational unit?
- What does the English legal-origin coefficient compare, and on which scale?
- Why is this adjusted coefficient different from an unconditional difference of group means?

Lecture 5

Focus: what a referee report is for, and what makes a comment useful to editors and authors.

Berk, J. B., Harvey, C. R. and Hirshleifer, D. (2017), How to write an effective referee report and improve the scientific review process, *Journal of Economic Perspectives* 31(1): 231–244, Download the paper

Read the whole article; it is short and non-technical.

Suggested: Thomson, W. (2011), *A Guide for the Young Economist*, 2nd edition, MIT Press, Chapter 4, "Writing Referee Reports" (pp. 151–166). Useful for the written report: components of a report, and the distinction between essential requests and mere suggestions.

Preparation: 20–30 minutes. Bring the one-page outline of your own assessment paper (question, data, method).

- According to the authors, what is the main purpose of a referee report, and what should it avoid?
- How would you distinguish an essential comment from a minor suggestion?
- Write one comment you would send to Voigt and Wulf: the issue, why it matters for a conclusion, and a feasible check.

Lecture 6

Law and Economics focus: evaluating claims about institutional determinants and the effectiveness of legal protections.

Voigt and Wulf (2019; first online 2017), same paper, second reading

Download the paper; Publisher access may require an institutional login.

Read Section 8 in full; inspect all five columns of Table 2 and its footnotes; revisit Sections 5 and 7 only where needed. Focus on regressors, uncertainty and changing samples.

Preparation: 30–45 minutes. Bring one written referee comment (100–150 words) using issue, consequence and a feasible action; it will be discussed in class.

- Which controls and observation counts change across Table 2?
- What would a comparison on the same countries clarify, and what would it leave unresolved?
- What assumptions would be needed to turn a conditional association into a causal claim?

Lecture 8

Law and Economics focus: legal texts as data; turning statutes and decisions into measures, and checking that the measures mean what they claim.

Gentzkow, M., Kelly, B. and Taddy, M. (2019), Text as data, *Journal of Economic Literature* 57(3): 535–574, Download the paper

Read Section 1 and Section 2 (pp. 535–540) and Section 3.5.2 on model validation and interpretation. Skip the statistical methods in the rest of Section 3.

Preparation: 30–45 minutes. Bring brief notes on the three questions; also bring a result and one comment from your own agreed assessment paper for the feedback session.

- In a corpus of court decisions or statutes, what would be one document, and what would be one feature?
- What information is lost when a legal text is reduced to counts of words or phrases?
- The de jure index in Voigt and Wulf is coded by hand from legal texts. How would you check whether an automatic, dictionary-based version measures the same thing?

Extra, optional. For those who want to go beyond this introduction: Python for Economists, Block III (text representation, sentiment analysis, machine learning for text). Not required for the lecture.